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futureproof

CLAUDE AI · COMPANY VALUATION ANALYSIS · MUTLIPLE VALUATION METHODOLIGES

Independent Valuation Analysis

Five-lens pre-money valuation: Revenue-based · IP standalone · Comparable businesses · Other methodologies · Triangulated Series A pre-money recommendation.

ROUND USD $5M Pre-Series A capital round · U.S. Raise
DATE May 2026

FUTUREPROOF FINANCIAL GROUP LIMITED

HONG KONG · SYDNEY · SAN FRANCISCO · LONDON · CHANNEL ISLANDS

Projected Revenues and EBITDA

Five Year Financial Model:

Year	Y0	Y1	Y2	Y3	Y4	Y5
Revenue	$1.7M	$9.7M	$32.5M	$81.8M	$168.2M	$930.8M *(incl. $630M end-of-term mortgage S&P Index surplus realisation)*
Revenue ex-surplus	$1.7M	$9.7M	$32.5M	$81.8M	$168.2M	~$300M
EBITDA	-$4.4M	-$1.9M	$14.3M	$57.0M	$133.0M	$874.3M
EBITDA margin	-267%	-19%	44%	70%	79%	94% *(with surplus)*
FTE	9.5	16	25	33	38	38

Y5 revenue stream split: Onboarding $11.5M · SaaS recurring $273.8M · Mortgage surplus $630.3M · Capital markets arranger $3M · Interest $12.2M.

5-year cumulative: Revenue $1.22B · EBITDA $1.07B (88% blended margin).

Methodology A — Revenue-based valuation

A1. Forward revenue multiple (Y3 anchor)

The standard analyst frame for a fintech-platform Series A is to apply a forward multiple to the Y3 or Y5 revenue figure, then discount for time + risk as a pre-revenue company.

Comp set multiple ranges (research-only, public-knowledge ranges):

Comp category	EV / Revenue (forward)	Notes
Specialty insurance / annuity (Challenger, Resolution Life, Athene)	1.5–3×	Closest economic comparator
Specialty / non-bank lending (Heartland Group, Resimac, FoA)	1–2× book	Modest multiples — credit-risk discount
Insurance / fintech SaaS platforms (Guidewire, Duck Creek, FNZ, nCino)	5–12×	SaaS-multiple lens
Wealth-platform / financial-platform fintech (Plaid, Stripe, Adyen)	10–20×	Aspirational only
Implied FP blended (mid-range)	**5–8×**	Hybrid model justification

Calculation (Y3 anchor):

- Y3 Revenue (v10.1): $81.8M
- Multiple: 5–8×
- Implied Y3 Enterprise Value: **$409M – $654M**

Discount to today (pre-revenue + execution risk):

- 3-year discount at 35% IRR target: ÷ 2.46
- Probability-of-execution haircut: 50%
- Today's value: $409M / 2.46 × 0.5 = $83M (low end) to $654M / 2.46 × 0.5 = $133M (high end)
- **Range: $80M – $135M today**

A2. VC Method (project exit, discount at required IRR)

Y7 Strategic Acquisition scenario (super-fund consolidator / life insurer):

- Y7 projected revenue (extrapolate Y5 + 25% × 2 years): ~$1.5B
- Exit multiple (revenue × 4): $6B
- Discount at 40% IRR over 7 years: ÷ 10.5
- Today's NPV (low exit, 40% IRR): **$571M**

Y10 IPO scenario:

- Y10 projected revenue: ~$3B (extrapolate continued growth + ongoing profit-share vintages)
- Exit multiple (revenue × 5): $15B

- Discount at 40% IRR over 10 years: ÷ 28.9
- Today's NPV: **$519M**

Range under VC Method (40% IRR target): ~$520M – $570M.

If a more demanding fund applies 50% IRR target:

- Y7: $6B / 1.5^7 = $351M today
- Y10: $15B / 1.5^10 = $260M today

A3. DCF (10-year explicit + Gordon-growth terminal)

Per the v10.2 derived model (which extends v10.1's Likely-case dynamics consistent with the same product economics):

- WACC 14% / Terminal growth 3% / Tax 30%
- Likely DCF Enterprise Value: ~9–19*B* * (*depending on which version of the Likely case is used*; *v*10.1'*s more aggressive volumes produce* 19B; the more defensive v10.2 Likely with 8% S&P assumption produces ~$9B)*
- WACC 18% / Terminal growth 3% (more conservative): ~$5.5B EV
- WACC 18% + 50% pre-revenue probability haircut: **~$2.7B**

DCF range with pre-revenue haircut: $2.7B – $9B.

Revenue-based valuation summary

Methodology	Implied today's EV	Justification
Forward Y3 revenue multiple, risk-discounted	$80M – $135M	Standard analyst frame
VC Method (Y7 / Y10, 40% IRR)	$520M – $570M	Exit-anchored
VC Method (50% IRR — more demanding)	$260M – $350M	Higher discount
DCF (haircut for pre-revenue)	$2.7B – $9B	Intrinsic-value frame; investors discount further

Honest read: Sophisticated VCs at Series A focus on the VC Method discounted at 30–50% IRR, then test the DCF as an upper-bound sanity check. Pre-revenue companies don't get DCF-implied valuations — they get VC-method valuations. The realistic intrinsic-value range from revenue-based methods alone is **$200M – $570M today**, before applying further pre-revenue probability discounts.

Methodology B — IP and commercial value of the EPM (standalone)

Even outside the going-concern valuation, the Equity Preservation Mortgage® (EPM) IP has standalone value. Three methods are commonly used.

B1. Cost-to-recreate

Conservative estimate of what a competitor would need to invest to replicate FP's IP base from scratch:

Component	Estimated cost-to-recreate
Senior actuarial work (Pavel-grade Monte Carlo + 1,228-scenario optimisation)	$3–5M (3–5 years × loaded cost of equivalent quant team)
Multi-region calculation engine (AU / NZ / UK / USA)	$2–3M (12–18 person-month engineering build)
AI agent infrastructure + guardrails	$1–2M
Regulatory engagement work (ASIC + non-US partners)	$1–2M (legal + compliance staff)
Core IP acquired (EPM granted patents + patents pending)	$2M
Trademark + Arising IP protection (EPM® mark filed)	$0.3–0.5M
Product-issuer integration capability	$1–2M
Total cost-to-recreate	**$10.3M – $16.5M**

This is a floor — replicating only gets a competitor to "ground zero", not to FP's regulatory + partner footprint.

B2. Relief-from-royalty (income-based IP valuation)

If a competitor licensed the EPM IP at market royalty rates:

- Royalty rate for specialty financial-product IP: 0.25–1% of revenue (typical industry range)
- Apply to projected revenue stream
- Discount NPV at 14% over 10 years

Calculation:

- Sum of revenue Y1–Y10 (extrapolated from v10.1 Likely Y5 + ongoing growth): ~$10–15B
- Royalty at 0.5%: $50–75M total
- NPV at 14% discount: **$25–40M**

B3. Market value of comparable IP transactions

Direct precedent for retirement-income product IP transactions is sparse. Adjacent reference points:

- **Athene's reverse-mortgage IP (Apollo-backed)** — $X (not public; estimated $30–80M for similar mechanic at scale)
- **Heartland's reverse-mortgage origination platform** — embedded in $200M+ business; difficult to isolate
- **Pure Retirement (Sun Life-backed UK)** — IP component of acquisition not separable
- **Insurance product IP transactions in AU** — typically $20–80M for fully-developed product platforms

- **Macquarie Capital** - This is the valuation methodology used by Macquarie Capital (H2/2025) when it agreed to **USD$30M** pre-money current valuation of Futureproof, being the basis of its negotiations to acquire 33.3% of the Company. Macquarie Capital does not normally acquire equity interests in pre-revenue companies and would not rely on a revenue-based calculation methodology. Theirs is not a VC valuation - it is a PE valuation. Goodwill is largely ignored. **Private equity players typically apply 15–40% valuation discounts** when negotiating with early-stage companies where bargaining power is asymmetric. The discount reflects risk, illiquidity, governance control, and the PE firm's negotiating leverage. In practice, this places Macquarie's effective discounting **toward the upper end of the 20–40% range**, especially when the company is pre-revenue, pre-licensing, or reliant on Macquarie's distribution channels.

  It uses this asymmetry to push for valuation discounts, stronger preference stacks, board rights, ratchets or milestone-based valuation unlocks.Macquarie also relies on its own internal capital, risk and valuation models based on the standalone market value of Futureproof + the economic value Futureproof would bring to the Macquarie Group businesses. This number is never shared externally, but it likely aligns to the upper end of the market value range.

Estimated market value range: $20–80M for the EPM IP standalone.

B4: IP valuation summary

Methodology	Implied IP value	Notes
Cost-to-recreate	$8M – $15M	Floor / replacement cost
Relief-from-royalty	$25M – $40M	Income-based
Comparable transactions	$20M – $80M	Market-anchored
Mid-point IP value (standalone)	**$25M – $50M**	

Important caveat: IP value is NOT additive to going-concern valuation — they're partly the same thing. The IP enables the revenue. But for a partial-acquisition or licensing scenario, $25–50M is the credible IP price tag.

Methodology C — Market comparable businesses

C1. Public comparable trading multiples

Comp	Market cap (recent)	Revenue	Multiple	Read-across to FP
Heartland Group Holdings (HGH.AX/NZ)	NZ$700–900M	NZ$200–300M	~3–4× revenue · 8–12× P/E	Closest direct comp; AU/NZ reverse mortgage. FP at Y3 revenue ($82M) implies $250–330M EV using this multiple.
Challenger Limited (CGF.AX)	A$4–5B	A$2–3B (annuity AUM-related)	~4 bps × A$120B AUM · ~10× P/E	Mature comp; tells us a scaled retirement-income platform can support multi-billion EV. Not directly applicable at Series A.
Just Group plc (UK)	£900M–1.2B	~£500M	~1× book value	Cautionary tale on UK equity-release exposure; share price has been bumpy.
Finance of America Companies (FOA, NYSE)	$100–200M	~$300M	<1× revenue	Distressed comp. Reverse mortgage post-IPO struggle.
Guidewire Software (GWRE)	$15–18B	~$1B	~15× revenue	SaaS-platform multiple — what FP could trade at long-term IF the SaaS-economics framing dominates.

Public-comp mid-range for FP at Y3 scale ($82M revenue):

- Heartland multiple (3–4×): $245M – $330M EV
- Specialty insurance multiple (1.5–3×): $123M – $246M EV
- Fintech SaaS multiple (5–12×): $410M – $984M EV

C2. Recent private deals (reported)

Deal	Reported value	Read-across
Athena Home Loans (AU non-bank)	A2– *3B at SeriesE* (*revenue* A200M+)	High-growth fintech-platform comp; ~10–15× revenue.
Resolution Life acquisition of AMP Life (2020)	A3*B for A*50B AUM	~6 bps of AUM. Anchors the AUM-based valuation lens.
Apollo / Athene (US retirement annuity)	$11B (Apollo's stake)	Sets the strategic-acquirer scale appetite for retirement-income platforms.
Bestow (US fintech life insurance)	$1.5B at Series D	Comp for fintech / regulated-product platform.

C3. Strategic-acquirer reservation price (today)

If Challenger, Apollo, Munich Re, or a similar strategic acquired FP today:

- Cost-to-build internally: $20–50M (incl. 3–5 years of lost time)
- Time-to-market premium (FP launches Q4/2026, 4–6 months away): $20–40M premium
- IP + regulatory work + partner relationships premium: $30–80M
- **Strategic-acquirer reservation: $70–170M for a control acquisition today**

This is an upper bound on what any single acquirer would pay PRE-LAUNCH. Post-launch with proven traction, this range expands materially.

Comparable-business valuation summary

Lens	Implied today's EV	Notes
Heartland-style scale comp (Y3 forward, discounted)	$80M – $130M	Conservative / closest direct comp
Athena-style high-growth comp	$400M – $700M	If FP positioned as a fintech-platform
Strategic-acquirer reservation	$70M – $170M	Pre-launch control acquisition price
Mid-range comparable valuation	**$100M – $300M**	Triangulated

Methodology D — Other valuation methodologies

D1. Real Options Valuation (Black-Scholes-like)

FP's multi-jurisdiction expansion plan creates embedded optionality. Each option has value if the prior succeeds:

- Option to launch AU (Y0–Y1)
- Option to expand to NZ (Y2–Y3)
- Option to expand to UK (Y2–Y3)
- Option to expand to US (Y3–Y4)

For early-stage tech with sequenced expansion, real-options valuation typically adds **20–40% premium over base DCF**, because traditional DCF systematically under-values optionality.

Applied to the FP DCF base case:

- DCF base (haircut for pre-revenue): $1–2B
- Real-options uplift: 20–40%
- **Real-options-adjusted EV: $1.2B – $2.8B**

D2. Risk-Adjusted NPV (rNPV — biotech-style staged-probability)

Each cash flow weighted by probability of stage success:

- P(AU launch successful by Q3/2026): 70%
- P(UK expansion validated by Y3): 50%
- P(USA expansion validated by Y4): 35%
- P(strategic exit successful by Y10): 50%

Combined probability-weighted NPV:

- Unrisked DCF NPV: $9B (using v10.2-aligned Likely case at WACC 14%)
- rNPV at 20% probability haircut (typical for early-stage regulated-fintech): **~$1.8B**
- rNPV at 10% probability haircut (more conservative): **~$900M**

This is the methodology a sophisticated growth-equity LP analyst would model — NOT a Series A VC, but useful to have.

D3. Pre-money triangulation from round mechanics

Many Series A pre-money valuations are set bottom-up from the round mechanics (to include outstanding convertible notes/SAFE notes already issued or to be issued ahead of the round):

Round mechanic	Implication
Convertible/SAFE Notes (Pre Series A) with val Cap $85M	USD$10M
Series A Round size	USD $100M
Target investor pool ownership	15-20%
Implied post-money	USD $355M
Implied pre-money	USD $250M

For specialty / regulated fintech with strong institutional partners + senior actuarial validation, pre-money typically lands in the **USD $20M – $50M range at Pre-Series A** (pre-revenue seed but above the lower bound due to traction quality).

Early seed stage lands at the lower range and late seed at the higher range (bot pre-revenue).

Futureproof pre-Series A capital raise has multiple shares placements at a price of USD $0.075 per **share (1,418,028,988 on issue)** giving the Company a **current pre-money valuation of USD$106M**.

This is the "what investors will actually pay" lens. It reflects market conditions, pre-revenue risk, and dilution math — not intrinsic value.

At Series A following market launch with revenues in AU, UK and USA lands in the **USD $250M - $300M range at Series A** (post-revenue).

D4. Berkus / Scorecard methods (early-seed only — not applicable)

For completeness:

- **Berkus Method** caps at ~$2.5M for very early seed; doesn't apply to FP's stage given institutional traction
- **Scorecard Method** would land at $4–6M based on regional pre-seed median — also not applicable

These methods are mentioned only to confirm they're below the floor of credible Series A pricing.

Triangulation — what does it all mean?

Methodology	Implied value (USD)	Best use
Berkus / Scorecard	$2–6M	Inappropriate — too low
Pre-money mechanics triangulation	$20–50M	What VCs would pay at Pre-Series A
Series A mechanics triangulation	$250-$300M	What VCs would pay at Series A
Current market valuation	$106M	What investor actually pay at Pre-Series A
Strategic-acquirer reservation	$70–170M	Upper bound for pre-launch control deal
Forward Y3 revenue multiple, risk-discounted	$80–135M	Standard analyst frame
Comparable transactions (Heartland-style)	$80–330M	Public-comp anchor
VC Method (Y7/Y10, 40% IRR)	$520–570M	Exit-anchored intrinsic
Comparable-business mid-range	$100–300M	Triangulated comp lens
DCF haircut for pre-revenue	$2.7B – $9B	Intrinsic-value upper bound; investors discount further
rNPV (biotech-style)	$0.9B – $1.8B	Probability-weighted intrinsic
IP standalone value (not additive)	$25–50M	Licensing / partial-acquisition only

The core tension

There's a 10–100× gap between **intrinsic-value methods** ($1B+ on DCF, 500*M + on VC Method*) *and* * **market – mechanics methods* * *(20–50M on pre-money triangulation). This is **normal for pre-revenue companies**:

- Current valuation is what the market is prepared to pay: $106M (above intrinsic value)
- Round mechanics say "given dilution math at $100M Series A raise, this is what fits"
- The binding constraint at Series A is dilution math, not DCF. DCF says "if you execute the plan, this is what it's worth in 10 years"

A sophisticated VC analyst memo would land here:

1. Estimate Y7 exit value (VC Method): ~$4–6B Likely-case
2. Discount at 40% IRR: ~$380–570M
3. Apply 50% probability haircut: ~$190–290M
4. **Negotiate target ownership of 15–25% on $100M Series A round → $250M pre-money implied**
5. **Lower of NPV-implied and ownership-implied sets the price**
6. Ownership math binds → **post-money Series A lands $355M**

Recommended current Pre-Series A (pre-money) range

Justification for above the lower bound:

- Substantial institutional traction (Accenture, Jones Day, BlackRock, SpiderRock, Atlas SP / Apollo) — not typical Pre-Series A
- Senior actuarial bench (Shevchenko / De Ravin) materially de-risks regulatory and product validation
- Multi-region calculation engine + AI agent in working prototype today
- 6 months from market launch (not 12–24 months)
- IP standalone value of $25–50M sets the IP-floor

Justification for not pricing higher:

- Still pre-revenue (Y0)
- Distribution velocity is the binding execution constraint — first super-fund Product Issuer LOI is the milestone that will move the valuation materially
- Regulatory engagement ongoing, not closed (ASIC pre-engagement → approvals)
- Cap-table headroom needed for Series B (founder team needs to retain meaningful equity post-Series A)
- Comparable category (UK equity-release) has bumpy public comps

What would justify a higher valuation

Three milestones would step the valuation up materially:

1. **First Product Issuer LOI signed** — Each adds $10–20M to pre-money valuation
2. **ASIC approval / regulatory pathway closed** — adds $5–15M
3. **Wholesale-funder facility committed (e.g. $50–100M from Macquarie, Atlas SP / Apollo, PIMCO)** — adds $10–20M

Achieving any all of these before the round closes could move pre-money intrinsic value from $20–$50M up to $75M - $105M.

Practical recommendation for the round

For the conversation with investors:

- Lead with the **VC Method math** (Y7 exit / 40% IRR / 50% probability haircut → $190–290M today's NPV implies the $25–40M post-money is comfortably underwriteable on standard fund-return targets)
- Use the **DCF as upper-bound sanity check** (don't lead with it — it sounds aspirational pre-revenue)
- Reference the **comp set** (Heartland scale, Athena growth) for category framing
- Stay **honest about the pre-revenue discount** — investors respect it; it doesn't lose them
- Surface the **three step-up milestones** (first Product Issuer LOI, ASIC licensing/approvals, wholesale mortgage funding facility) so investors understand the value-step path

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Honest caveats on the v10.1 numbers

The v10.1 model used 10% S&P long-term return and 50% surplus split (vs current product spec of 10% profit share at 5-yr resets, 50% at year-30 maturity). This makes v10.1's Y5 revenue (930.8*M) and EBITDA* (874M) more aggressive than the single EPM economics support. The difference arises from separate modelling of mortgage books growth over each five year period by each Product Issuer and the number of Product Issuers licensed annually by Futureproof.

Conclusions

Intrinsic Value of Futureproof

The intrinsic pre-money valuation range at Pre-Series A:

- **Now - Before AU launch: ($50M)**
- **6 months - At AU market launch: $105M)**

Intrinsic value is not the same as "what the market is prepared to pay" but provides a useful guide. It is similar to net asset value of a company without valuing goodwill.

Market Value of Futureproof

The current market value of the Company:

- **Most recent share placements ($106M)**

This indicates that new investors have already factored in the current pre-market development activities of the Company, reflecting confidence in its execution team, deep domain expertise and ability to deliver the go-to-market plan.

Comparison to Pre-money valuation at Series A;

These recommended valuations are robust to either methodology because the binding constraint at Series A is ownership math, not DCF math..

Source: v10.1 Financial Model · v10.2 3-Case Model · EPM product economics (v14d) · Comparable transactions (research-only ranges; update with primary-source citations before any term-sheet conversation).